

HOUSE BILL 521

By Reedy

AN ACT to amend Tennessee Code Annotated, Title 57,
Chapter 5 and Title 67, Chapter 4, relative to the
taxation of certain beverages.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 57-5-201(a)(1), is amended by
deleting the language:

Every person, firm, corporation, joint-stock company, syndicate or association in
this state storing, selling, distributing, or manufacturing such beer or other
beverages as are described in this chapter shall pay a special privilege tax, in
addition to all other taxes, in an amount equal to four dollars and twenty-nine
cents (\$4.29) per barrel of thirty-one liquid gallons (31 gals.) stored, sold,
distributed by gift or sale or manufactured in this state; provided, that the rate
shall be reduced by fifty cents (50¢) on July 1 of any year following the
enactment of any state or federal law that imposes mandatory deposits by
consumers on beverage containers sold in this state or on July 1, 2028,
whichever occurs first.

and substituting instead:

Every person, firm, corporation, joint-stock company, syndicate, or association in
this state storing, selling, distributing, or manufacturing such beer or other
beverages as are described in this chapter shall pay a special privilege tax, in
addition to all other taxes, in an amount equal to two dollars (\$2.00) per barrel of
thirty-one liquid gallons (31 gals.) stored, sold, distributed by gift or sale, or
manufactured in this state.

SECTION 2. Tennessee Code Annotated, Section 57-5-201(a)(2), is amended by deleting the subdivision and substituting instead:

(2) Notwithstanding this section or another law to the contrary, one dollar (\$1.00) of the revenue generated from the special privilege tax authorized in subdivision (a)(1) shall be allocated to the highway fund for the purpose of funding programs for the prevention and collection of litter and trash and matters related to the programs, including special grants for programs described in § 54-1-407.

(3) One dollar (\$1.00) of the revenue generated from the special privilege tax authorized in subdivision (a)(1) must be allocated to recycling grants issued by the department of environment and conservation for the purpose of funding material recycling programs, including aluminum, plastic, glass, and other recyclable materials.

(4) No later than March 31 of each year, the department of transportation and department of environment and conservation shall transmit to the governor and the speakers of the house of representatives and senate a report listing the programs receiving funds generated by this subsection (a), the amount of funds received by each program, and the purpose for which the funds were spent.

(5) This subsection (a) and subsection (b) are repealed on July 1 of any year following the enactment of any state or federal law that imposes mandatory deposits by consumers, taxes, or fees on beverage containers sold in this state or on July 1, 2028, whichever occurs first.

SECTION 3. Tennessee Code Annotated, Section 57-5-202(a), is amended by deleting the language "The commissioner shall expend so much of four percent (4%)" in the second sentence and substituting instead the language "Prior to July 1, 2025, the commissioner shall expend so much of four percent (4%)".

SECTION 4. Tennessee Code Annotated, Section 57-5-205, is amended by deleting the language "The state privilege tax collected under §§ 57-5-201 -- 57-5-204" and substituting instead the language "Prior to July 1, 2025, the state privilege tax collected under §§ 57-5-201 -- 57-5-204".

SECTION 5. Tennessee Code Annotated, Section 67-4-402(b), is amended by deleting the subsection and substituting instead:

(1) **Imposition of Tax.** A person manufacturing or producing and selling within this state any bottled soft drinks and a person importing or causing to be imported bottled soft drinks into this state from outside the state and selling such imported bottled soft drinks within this state shall, for the privilege of engaging in such business, pay to the state for state purposes an amount equal to nine-tenths percent (0.9%) of the person's gross receipts derived from such business.

(2)

(A) Notwithstanding this section or another law to the contrary:

(i) Five-tenths percent (0.5%) of the revenue generated from the special privilege tax authorized in subdivision (b)(1) must be allocated to the highway fund for the purpose of funding programs for the prevention and collection of litter and trash and matters related to the programs, including special grants for programs described in § 54-1-407; and

(ii) Four-tenths percent (0.4%) of the revenue generated from the special privilege tax authorized in subdivision (b)(1) must be allocated to recycling grants issued by the department of environment and conservation for the purpose of funding material recycling programs, including aluminum, plastic, glass, and other recyclable materials.

(B) No later than March 31 of each year, the department of transportation and department of environment and conservation shall transmit to the governor and the speakers of the house of representatives and senate a report listing the programs receiving funds generated by this subsection (b), the amount of funds received by each program, and the purpose for which the funds were spent.

SECTION 6. Tennessee Code Annotated, Section 67-4-402, is amended by adding the following new subsection:

(e) This section is repealed on July 1 of any year following the enactment of any state or federal law that imposes mandatory deposits by consumers, taxes, or fees on beverage containers or sold in this state or on July 1, 2028, whichever occurs first.

SECTION 7. The Tennessee Code Commission is directed to delete references to the taxes repealed by this act, when such repeal occurs.

SECTION 8. This act takes effect on July 1, 2025, the public welfare requiring it.